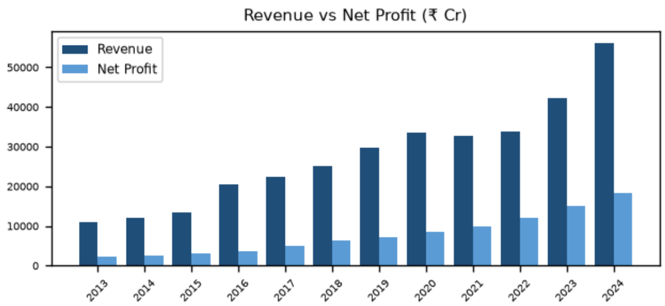
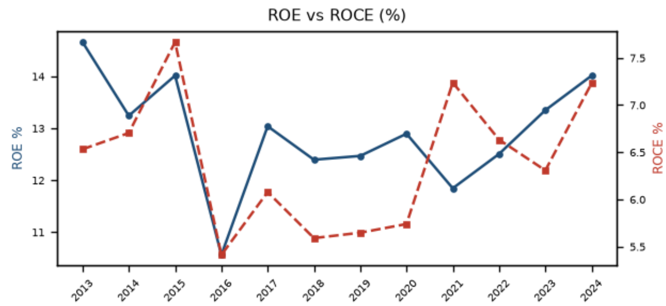
Kotak Mahindra Bank Ltd (KOTAKBANK)

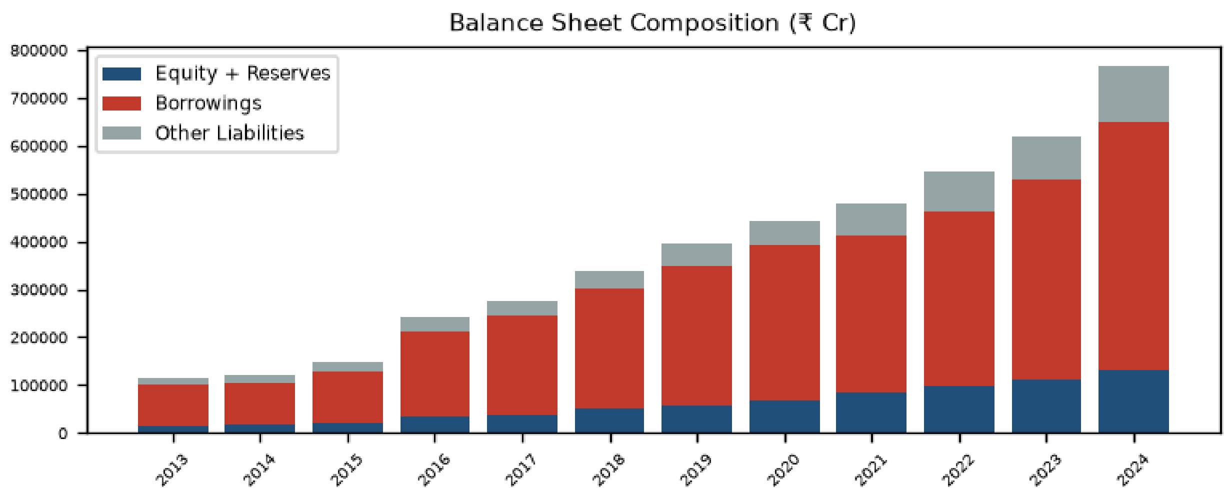
Financials — Private Banks

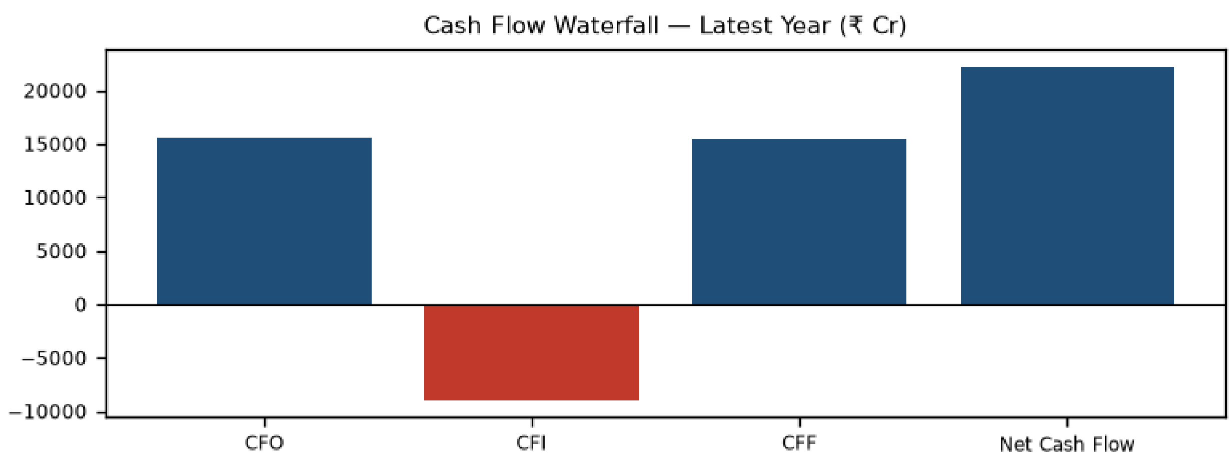
ROE	ROCE	Net Profit Margin
14.0%	7.2%	32.4%
D/E	**Revenue CAGR (5yr)**	**FCF (latest, Cr)**
4.0x	13.5%	6766





Kotak Mahindra Bank Ltd (KOTAKBANK) — Balance Sheet & Cash Flow





Capital Allocation Pattern: Mixed

Pros

✓ Operating profit margin above 25% indicates strong pricing power and cost discipline (89% confidence)
✓ Net profit compounding at above 20% over 5 years creates significant shareholder value (60% confidence)
✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (62% confidence)
✓ Return on equity improving for 3 consecutive years shows strengthening business quality (75% confidence)
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits (67% confidence)

Cons

✗ Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations (85% confidence)
✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (63% confidence)
✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (80% confidence)